

Actuaries

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Application and Definitions

1.1

This Part applies to:

1. (1) a _UK Solvency II firm_ ;
2. (2) in accordance with Insurance General Application 3, the _Society_ , as modified by 7;
3. (3) in accordance with Insurance General Application 3, _managing agents_ , as modified by 7; and
4. (4) _third country branch undertakings_ excluding _Swiss general insurers_.

1.2

This Part applies to an _actuary_ appointed under 2 or appointed under or as a result of a statutory provision other than in _FSMA_.

1.3

In this Part, the following definitions shall apply:

Chief Executive function

has the meaning given in Insurance ? Senior Management Functions 3.1.

With-Profits Actuary function

has the meaning given in Insurance ? Senior Management Functions 8.2.

2

Appointment of Actuaries

2.1

A _firm_ must appoint an external _actuary_ if it does not have the capability within the _firm_ or the _firm?s_ _group_ to comply with Conditions Governing Business 6.

2.2

A _firm_ carrying on _with-profits insurance business_ must appoint one or more _actuaries_ to perform the _With-Profits Actuary function_ in respect of all classes of its _with-profits insurance business_.

2.3

A _firm_ must:

1. (1) when it becomes aware that a vacancy of an _actuary_ required under 2.1 or 2.2 will arise or has arisen:
 1. (a) notify the _PRA_ ; and
 2. (b) give reasons for the vacancy,
2. without delay, using the form referred to in Notifications 10.3;
3. (2) appoint an _actuary_ to fill any vacancy of an _actuary_ required under 2.1 or 2.2;
4. (3) ensure that the replacement _actuary_ can take up the vacant post at the time the vacancy arises or as soon as reasonably practicable after that; and
5. (4) when a new _actuary_ is appointed:
 1. (a) notify the _PRA_ of that appointment; and
 2. (b) advise the _PRA_ of the name and business address of the _actuary_ appointed and the date from which the appointment has effect,

using the form referred to in Notifications 10.3.

2.4

Where a _firm_ fails to appoint an _actuary_ under 2.1 or 2.2 within 28 days of a vacancy arising the _PRA_ may appoint an _actuary_ to perform either of the functions in 2.1 or 2.2 for that _firm_ on the following terms:

1. (1) the _actuary_ to be remunerated by the _firm_ on the basis agreed between the actuary and _firm_ or, in the absence of agreement, on a reasonable basis; and
2. (2) the _actuary_ to perform the function required under 2.1 or 2.2 until he resigns or the _firm_ appoints another _actuary_.

2.5

A _firm_ must comply with and is bound by the terms on which an _actuary_ has been appointed by the _PRA_.

2.6

Where the _PRA_ appoints an _actuary_ to perform either of the functions in 2.1 or 2.2 for a _firm_ , the requirements under 2.1 and 2.2 to make appointments under those rules still apply to that _firm_ .

3

Actuaries? Qualifications

3.1

Before a _firm_ appoints an _actuary_ under 2.1 or 2.2, it must take reasonable steps to ensure that the _actuary_ has the required skill and experience to perform his functions under the _regulatory system_ commensurate with the nature, scale and complexity of the _firm?s_ business and the requirements and standards under the _regulatory system_ to which it is subject.

3.2

A _firm_ must not appoint as _actuary_ a _person_ who is disqualified under Part XXII of FSMA (Auditors and Actuaries) from acting as an _actuary_ either for that _firm_ or for a relevant class of _firm_.

3.3

A _firm_ must take reasonable steps to ensure that an _actuary_ , which it is planning to appoint or has appointed, provides information to the _PRA_ about the _actuary's_ qualifications, skills, experience and any other relevant matters in accordance with the reasonable requests of the _PRA_.

4

Conflicts of Interest

4.1

A _firm_ must take reasonable steps to ensure that an _actuary_ that it appoints:

1. (1) does not perform the function of _Chief Executive function_ ;
2. (2) does not, if he is to perform the _With-Profits Actuary function_ , become a member of the _firm's_ _governing body_ ; and
3. (3) does not perform any other function on behalf of the _firm_ which could give rise to a significant conflict of interest.

5

With-Profits Actuary Function

5.1

An _actuary_ appointed to perform the _With-Profits Actuary function_ must:

1. (1) advise the _firm's_ management, at the level of seniority that is reasonably appropriate, on key aspects of the discretion to be exercised affecting those classes of the _with-profits insurance business_ of the _firm_ in respect of which he has been appointed;
2. (2) advise the _firm's_ _governing body_ as to whether the assumptions used to calculate the future discretionary benefits within the _technical provisions_ under Technical Provisions 9.1 are consistent with the _firm's_ _PPFM_ in respect of those classes of the _firm's_ _with-profits insurance business_ ;
3. (3) at least once a year, report to the _firm's_ _governing body_ on key aspects (including those aspects of the _firm's_ application of its _PPFM_ on which the advice described in (1) has been given) of the discretion exercised in respect of the period covered by his report affecting those classes of _with-profits insurance business_ of the _firm_ ;
4. (4) request from the _firm_ such information and explanations as he reasonably considers necessary to enable him properly to perform the duties in (1) to (3);
5. (5) advise the _firm_ as to the data and systems that he reasonably considers necessary to be kept and maintained to provide the duties in (4); and
6. (6) in the case of a _friendly society_ to which this section applies, perform the function of appropriate actuary under section 12 (Reinsurance) of the Friendly Societies Act 1992 or section 23A (Reinsurance) of the Friendly Societies Act 1974 as applicable, in respect of those classes of its _with-profits insurance business_ covered by his appointment.

6

Duties of Actuaries

6.1

An _actuary_ appointed under this Part must be objective in performing his duties.

6.2

An _actuary_ appointed under this Part must take reasonable steps to satisfy himself that he is free from bias, or from

any conflict of interest from which bias may reasonably be inferred. He must take appropriate action where this is not the case.

6.3

When carrying out his duties, an _actuary_ appointed under this chapter must pay due regard to generally accepted actuarial practice.

6.4

An _actuary_ must notify the _PRA_ without delay if the _actuary_ :

1. (1) is removed from office by a _firm_;
2. (2) is formally notified of such removal from office;
3. (3) resigns before the term of office expires;
4. (4) is not re-appointed by a _firm_ ; or
5. (5) is disqualified from being the _actuary_ of:
 1. (a) any _undertaking_ or particular class of _undertaking_ ; or
 2. (b) any _firm_ or particular class of _firm_ .

6.5

In the circumstances set out in 6.4, the _actuary_ must notify the _PRA_ without delay:

1. (1) of any matter connected with the removal or ceasing of the office of _actuary_ that the _actuary_ thinks ought to be drawn to the _PRA's_ attention; or
2. (2) that there is no such matter.

7

Lloyd's

7.1

This Part applies to the _Society_ and _managing agents_ separately.